

TVSMOTOR

26.2%
ROE

13.8%
ROCE

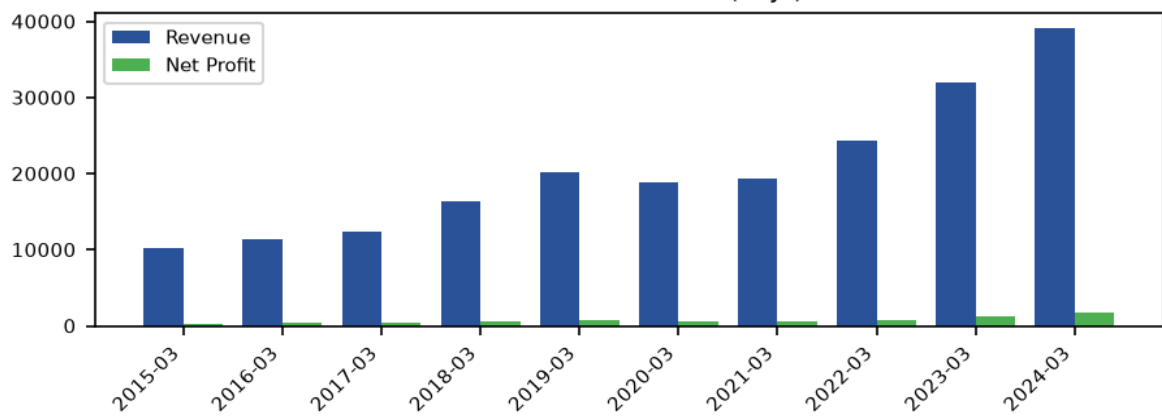
3.8x
D/E

14.2%
Revenue CAGR (5yr)

14.1%
OPM

4.5%
Net Profit Margin

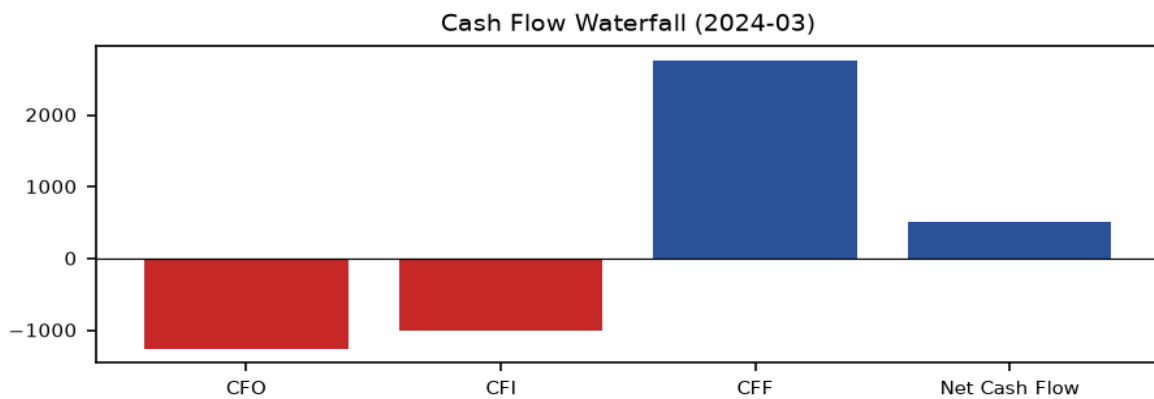
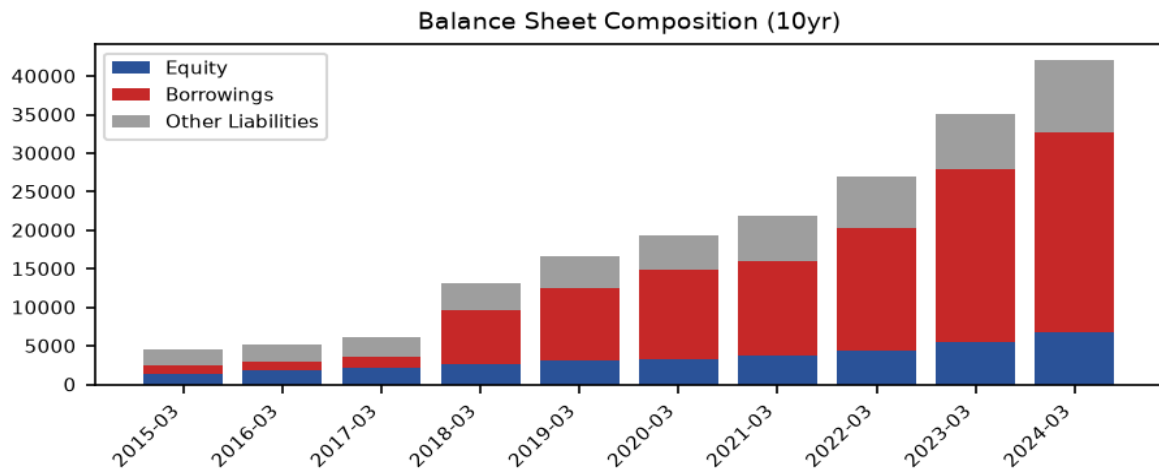
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



TVSMOTOR



Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Debt-to-equity ratio of 3.8 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern: Growth Funded by Debt